RCOE cross-requests $2,030.00 in sanctions against Plaintiff on the SROG motion, based on 7 hours at $290.00 per hour.

Sanctions are mandatory against the party who unsuccessfully makes or opposes a motion to compel further responses to interrogatories or requests for admission, unless the Court finds substantial justification or other circumstances that would make the award unjust. (CCP §§ 2030.300(d), 2033.290(d).) Making an unmeritorious objection or an evasive response is a misuse of the discovery process, and the Court may order the offending party to pay the reasonable expenses, including attorney's fees, incurred as a result. (CCP §§ 2023.010(e), (f), 2023.030(a).)

RCOE is the unsuccessful party. As discussed above, RCOE's responses to SROG Nos. 32, 41, and 52 through 57, RFA Nos. 9 and 10, and FROG No. 217.1 are not Code-compliant. RCOE offered no substantial justification for its responses to SROGs, and no memorandum at all on FROG. On the RFA, RCOE invoked substantial justification under sections 2033.290(d) and 2023.010(h), (i), arguing its objections were Code-compliant and that it offered to supplement upon clarification. That argument fails for the reasons stated in the merits analysis above. The terms "operative," "in effect," and "metrics" are RCOE's own EIAP terminology, and RCOE's willingness to supplement upon clarification does not create substantial justification for objections that lacked merit in the first instance. No other circumstance makes an award unjust.

Although the three motions are procedurally distinct, they share a common factual background, a single meet and confer record, and substantially overlapping legal authorities. The RFA motion and the FROG motion are particularly intertwined, because FROG No. 217.1 exists only as a follow-on to RFA Nos. 9 and 10 and turns on the same underlying dispute. The Court therefore reduces the awards accordingly.

- SROGs - **$3,900.00** for six (6) hours at $650 per hour.
- RFA – Reduced amount of **$2,600.00**, representing four (4) hours at $650.00 per hour.
- FROG – Reduced to **$1,300.00**, representing two (2) hours at $650.00 per hour.

The Court therefore **GRANTS** Plaintiff's requests for monetary sanctions in the reduced total amount of **$7,800.00** against RCOE and its counsel, and **DENIES** RCOE's cross-request for $2,030.00.

**Summary: GRANT** Plaintiff's Request for Monetary Sanctions in the reduced amount of $7,800.00 ordered payable within 30 days of this order. **DENY** Defendant RCOE's Cross-Request for Monetary Sanctions. **GRANT** Plaintiff's three Motions to Compel Further Responses to Special Interrogatories (Set Two) Nos. 32, 41, 52–57, Requests for Admissions (Set One) Nos. 9–10, and Form Interrogatories – Employment (Set Two) No. 217.1.

**3.**

| CASE # | CASE NAME | HEARING NAME |
|---|---|---|
| CVRI2500875 | FARLEY-HAY vs FLANIGAN | MOTION FOR SUMMARY ADJUDICATION ON CROSS-COMPLAINT |

**Tentative Ruling:**

Moving party: Plaintiff / Cross-Defendant Charissa Farley-Hay
Responding party: Defendants / Cross-Complainants Christi Flanigan et al.

On 2/13/2025, Plaintiff Charissa Farley-Hay initiated this lawsuit against Defendants Christi Flanigan ("Flanigan") and Flanigan's company, Flanigan Stone Company ("FSC"). Plaintiff alleges on 12/22/2021, FSC, as borrower, executed a written promissory note (the "Promissory Note") in the principal amount of $200,000, in favor of Plaintiff. Flanigan executed a personal guarantee (the "Guaranty") of the Promissory Note. As of the maturity date, 3/1/2024, Defendants have made no payments to reduce the principal amount. On 5/4/2023, Defendants acknowledged owing Plaintiff (the "Debt Acknowledgment") the balance of $825,629.47 as of 12/31/2023 (the "Balance Debt"). The operative Complaints asserts 3 causes of action: (1) Account Stated, (2) Breach of Promissory Note, and (3) Breach of Guaranty.

**Cross-Complaint & Allegations.** On 5/16/2025, Defendants/Cross-Complainants filed a Cross-Complaint against Plaintiff and Hector Gonzalez ("Gonzalez") (collectively, Cross-Defendants). Cross-Complainants allege Cross-Defendants, along with Shon Farley (collectively, "Sellers"), owned Farley Paving Stone Co. (the "Farley Paving"). In 2021, Sellers agreed to sell their interest in Farley Paving. On 12/22/2021, Sellers and FSC entered into a stock purchase agreement (the "Agreement"), wherein FSC agreed to pay the purchase price of $2,000,000, which consisted of $400,000 in cash to non-party Shon Farley; $198,424 in cash to Gonzalez; $1,201,576 in cash to Plaintiff; and the $200,000 Promissory Note. FSC paid Plaintiff $200,000 in connection with the working capital calculation, made payments on behalf of Sellers for obligations that accrued pre-closing, and paid expenses made by Sellers that continued to be erroneously charged to Farley Paving. FSC's own accountant determined FSC had overpaid Sellers for Farley Paving's working capital. FSC unsuccessfully addressed this overpayment with the Sellers. It is also alleged Sellers violated the Agreement by engaging in direct competition business against Farley Paving.

The Cross-Complaint asserts causes of action for: (1) Breach of Written Agreement against Sellers, (2) Breach of Oral Contract against Plaintiff, (3) Money Had and Received against Plaintiff, (4) Declaratory Relief against Plaintiff, and (5) Defamation against Plaintiff.

Trial is currently set on January 8, 2027.

**Motion for Summary Adjudication ("MSA").** Cross Defendants now move for summary adjudication as to the first four causes of action in the Cross Complaint. Cross Defendants argue FSC lacks the capacity to assert affirmative cross claims in this Action because it was completely dissolved and wound up prior to the commencement of this Action.

In opposition, Cross Complainants, citing Corporation Code section 2010, argues a dissolved corporation continues to exist for the purpose of winding up its affairs, including prosecuting and defending actions by or against it. Cross Complainants argue whether FSC's winding up is complete and whether its cross claims are assets that remain to be collected presents triable issues that preclude summary adjudication.

In reply, Cross Defendants generally repeat their arguments in moving papers.

## Analysis

## I. Evidentiary Issues / Objections

The Court **SUSTAINS** Cross Complainants' objection #1.

As to Exhibits 1-8 for which Cross Defendants' request judicial notice ("RJN") for, Cross Complainants do not object and do not dispute Cross Defendants' undisputed facts ("UF") that these Exhibits support. Accordingly, the Court **GRANTS** RJN as to Exhibits 1-8.

As to Cross Defendants' objections, some attack multiple sentences, some of which are admissible and others inadmissible. It is the burden on the party making the objection to state the exact portion of the evidence to be stricken, "especially where only part of it is objectionable." (*OCFCD v. Sunny Crest Dairy, Inc.* (1978) 77 Cal.App.3d 742, 753; cf. *Rose v. State of California* (1941) 19 Cal.2d 713, 742 ["A motion to strike out inadmissible evidence may be properly denied where it is general and embraces evidence which is admissible as well as that which is inadmissible."].) With these principles in mind, the Court **OVERRULES** objections #1-8.

## II. Legal Standard

From commencement to conclusion, the party moving for summary judgment bears the burden of persuasion. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 855.) "Summary adjudication motions are procedurally identical to summary judgment motions." (*Serri v. Santa Clara Univ.* (2014) 226 Cal.App.4th 830, 859.)

A defendant can meet the initial burden by showing that one or more elements of the causes of action cannot be established, or that there is a complete defense. (Code Civ. Proc., § 437c, subd. (p)(2).) To demonstrate that a cause of action cannot be established, the defendant must either negate an essential element of the plaintiff's cause of action or show that the plaintiff lacks evidence. (*Chavez v. Glock, Inc.* (2012) 207 Cal.App.4th 1283, 1301.) To negate an element, the defendant must establish that plaintiff's claim fails as a matter of law. (*Erikkson v. Nunnick* (2011) 191 Cal.App.4th 826, 849.) To demonstrate that the plaintiff lacks evidence, the defendant must show that the plaintiff does not possess and cannot reasonably obtain needed evidence. (*Aguilar, supra,* 25 Cal.4th at 855.) A defendant may not simply point to an absence of evidence but must show that the plaintiff cannot reasonably obtain such evidence. (*Gaggero v. Yura* (2003) 108 Cal.App.4th 884, 891.)

A motion for summary judgment should be granted if no triable issue exists as to any material fact and the moving party is entitled to a judgment as a matter of law. (*Kahn v. East Side Union High School Dist.* (2003) 31 Cal.4th 990, 1002-1003.) "The moving party bears the burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact." (*Aguilar, supra,* 25 Cal.4th at 850.) Once this burden has been met, the burden shifts to the opposing party to make a prima facie showing of the existence of a triable issue of material fact. (*Ibid.*) "Any doubts as to the propriety of granting the motion are resolved in favor of the party opposing the motion." (*American Airline v. Sheppard, Mullin, Richter & Hampton* (2002) 96 Cal.App.4th 1017, 1048.) It is improper for the court to weigh the evidence or determine the credibility on a motion for summary judgment or adjudication. (*Binder v. Aetna Life Insurance Co.* (1999) 75 Cal.App.4th 832, 840.)

## III. Merits

Both parties cite *Penasquitos, Inc. v. Superior Court* (1991) 53 Cal.3d 1180, 1884-1185 and Corporation Code section 2010 to argue their respective positions.

Cross Defendants move for summary adjudication on the grounds FSC does not exist and has no capacity or standing to prosecute any cross claims in this action because FSC is completely devoid of any assets, debts, and liabilities and has nothing to wind up. Cross Defendants move for an order dismissing all such crossclaims with prejudice. Cross Defendant also reference *Mongols Nation Motorcycle Club, Inc. v. City of Lancaster* (2012) 208 Cal.App.4th 124, but this is a depublished case and cannot be cited or relied on by courts or parties. (Cal. Rules of Court, rule 8.1115.)

Cross Complainants argue a dissolved corporation continues to exist to wind up its affairs, including prosecuting and defending actions by or against it. Cross Complainants argue that whether FSC's winding up is complete and whether its cross claims are assets that remain to be collected presents triable issues of fact.

The lack of capacity to sue is simply a legal disability, such as a minority or incompetency that "deprives a party of the right to come into court." (*Rubinstein v. Fakheri* (2020) 49 Cal.App.5th 797, 806.) "There is a difference between the capacity to sue, which is the right to come into court, and the standing to sue, which is the right to relief in court." (*Friendly Village Community Assn., Inc. v. Silva & Hill Constr. Co.* (1973) 31 Cal.App.3d 220, 224.) Standing to sue goes to the existence of a cause of action. (*Troyk v. Farms Group, Inc.* (2009)

An action does not abate due to the dissolution of the corporation. (Corp. Code, § 2010, subd. (b).) A corporation remains liable to the extent of its undistributed assets, including available insurance. (Corp. Code, §§ 2010, subd. (a) ["A corporation which is dissolved nevertheless continues to exist for the purpose of winding up its affairs, prosecuting and defending actions by or against it and enabling it to collect and discharge obligations, dispose of and convey its property and collect and divide its assets, but not for the purpose of continuing business except so far as necessary for the winding up thereof."], 2011, subd. (a)(1)(A).)

*Penasquitos, Inc.* is instructive regarding corporate dissolutions. In *Penasquitos, Inc., supra,* 53 Cal.3d 1180, the California Supreme Court allowed homeowners to bring suit for construction defects against defendants after defendants completed statutory dissolution. (*Id.* at 1183.) "[T]he effect of dissolution is not so much a change in the corporation's status as a change in its permitted scope of activity." (*Id.* at 1190.) Dissolution is a retirement from active business and not a death of the corporation. (*Id.*) Lawsuits can be pursued against dissolved corporations for predissolution activities. (*Id.* at 1190.) "Participating in a judicial resolution of such claims is part of the winding-up process." (*Id.*) The court explained that a corporation shall continue to exist for an indefinite period after dissolution as a legal entity for the purpose of winding up its affairs. (*Id.* at 1185, citing Civ. Code, § 1905, subd. (b).)

As the California Supreme Court aptly noted:

> Once the corporation's assets have been properly distributed to the shareholders, the assets are beyond the reach of plaintiffs who possess claims that arose after dissolution. [Citations.] This means that bringing suit against a dissolved corporation on a postdissolution claim will often be a pointless exercise, because

> the corporation will have no assets with which to satisfy a judgment against it. When a dissolved corporation lacks the means to satisfy a monetary judgment, there is no need to erect legal barriers to protect it from litigation (assuming such barriers were otherwise desirable), because plaintiffs are unlikely to incur the cost of litigation with no hope of recovery.
>
> Plaintiffs will be likely to assert postdissolution causes of action only if there is a prospect of recovery from the dissolved corporation's liability insurance, from undistributed assets, or from assets of the corporation discovered after dissolution. If corporate assets are undistributed or discovered after dissolution, the winding-up process has not been completed; the interest in finality and repose cannot justify barring a postdissolution claim so long as the corporation holds undistributed assets. Similarly, if the corporation has liability insurance coverage, its dissolution provides no reason to excuse the insurer from defending the action and indemnifying those injured by the predissolution activities of its insured, just as a corporation's insolvency or bankruptcy does not release its insurer from payment for damages the corporation has caused.

(*Penasquitos, Inc., supra,* 53 Ca.l.3d at 1191-1192.)

Here, it is undisputed FSC is a completely wound up and dissolved corporation with no assets and no insurance. (UF #2-3.) It is also undisputed that to date, FSC has not filed any Certificate of Revocation of Election to Terminate, and Cross-Complainant has not revoked the dissolution. (UF #5.) Thus, Cross Defendants meet their initial burden of persuasion. (Code Civ. Proc., § 437c, subd. (p)(2); *Aguilar, supra,* 25 Cal.4th at 855.) The burden shifts to Cross Complainants.

Cross Complainant Flanigan submits a declaration wherein she testifies that FSC was formed to acquire Farley Paving. (Flanigan Decl., ¶2.) Flanigan and her ex husband owned FSC. (*Ibid.*) On December 22, 2021, Flanigan entered into and signed the Agreement with Sellers to purchase Farley Paving. (*Id.* at ¶4; Exh. A.) Under the Agreement, FSC agreed to pay a purchase price of $2,000,000, which included cash payments to the Sellers at closing, $200,000 of which was payable through a promissory note (the "Note"). (*Id.* at ¶5.) Flanigan understood the balance of the Note could be offset by payments FSC made to cover Farley Paving's liabilities that pre-dated the closing. (*Ibid.;* Exh. A.) Sellers and FSC verbally agreed that, after the transaction closed, Farley Paving's working capital would be calculated, which could result in an adjustment to the purchase price. (*Id.* at ¶6.) FSC paid Farley-Hay $200,000 towards the working capital adjustment between March 31, 2022 and September 26, 2022 and paid at least $174,300.25 in the Company's pre-closing liabilities. (*Id.* at ¶7.) Farley-Hay withdrew approximately $55,000 from Farley Paving's bank accounts, which was not part of the purchase price. (*Ibid*.) Flanigan testified FSC overpaid the Sellers on the working capital adjustment and is entitled to recover the excess. (*Id.* at ¶8.) The parties' dispute over the working capital adjustment has never been resolved and remain owing to FSC. (*Id.* at ¶9.) FSC filed a certificate of dissolution on August 24, 2024.

Cross Complainant's testimony is evidence that the working capital dispute was in existence before dissolution. Accordingly, FSC's cross claims seek to collect the sums owed to it under the Agreement and to offset the balance of the Note. Lawsuits can be pursued against dissolved corporations for predissolution activities. (*Penasquitos, supra,* 53 Cal.3d at 1190.) "Participating in a judicial resolution of such claims is part of the winding-up process." (*Id.*)

Accordingly, Cross Complainants meet their burden of presenting a triable issue of material fact. The Court **DENIES** the motion.

**IV. Sanctions**

Cross Complainants asserts Cross Defendants' motion improperly relies on a depublished opinion that must not be cited or relied upon, and the Court should disregard it and consider sanctions.

As previously discussed, Cross Defendants reference *Mongols Nation Motorcycle Club, Inc., supra,* 208 Cal.App.4th 124, but this is a depublished case and cannot be cited or relied on by courts or parties. (Cal. Rules of Court, rule 8.1115.) However, Cross Defendants acknowledge the depublished case cannot be cited or relied on. (Opp., pg. 9:3-4.)

The Court **DECLINES** to rule on sanctions as Cross Complainants provide no statutory basis to impose sanctions

**4.**

| CASE # | CASE NAME | HEARING NAME |
|---|---|---|
| CVRI2502151 | LATHAM vs BLANCO | MOTION TO VACATE ORDER OF DISMISSAL |

**Tentative Ruling:**

Under CCP §473(b), the court is required to vacate any default or dismissal "whenever an application for relief is made no more than six months after entry of judgment, is in proper form, and is accompanied by an attorney's sworn affidavit attesting to his or her mistake, inadvertence, surprise, or neglect."

**1. Mistake, Inadvertence, Surprise or Neglect**

The grounds for relief under the discretionary and mandatory provisions of CCP §473(b) are identical ("mistake, inadvertence, surprise") except for one distinction: whereas only "excusable" neglect is a basis for relief under the discretionary provision, any neglect is a basis for relief under the mandatory provision. Thus, where an attorney affidavit of fault is filed, relief must be granted even where the default results from inexcusable neglect by the defendant's attorney. *Standard Microsystems Corp. v. Winbond Electronics Corp.* (2009) 179 CA4th 868, 897, 102 CR3d 140, 163.

Pursuant to the Court's reading of the declaration of counsel, Gavril Gabriel, the Court is satisfied that the dismissal was due to the neglect of counsel. Accordingly, the motion to set aside the 2/20/2026 dismissal is granted.

The Court sets the matter for a Case Management Conference on 10/27/2026 at 8:30 a.m. in Department 6. The Court set the matter for an OSC as to why sanctions of up to $1,500 or a